

this Hungarian man who like me is ashamed of being a trader and prefers his trading to be a minor extension of his intellectual life (it can be seen in his first book *The Alchemy of Finance*). Having never been impressed by people with money (and I have met plenty of those throughout my life), I did not look at any of them as remotely a role model for me. Perhaps the opposite effect holds, as I am generally repelled by the wealthy, generally because of the attitude of epic heroism that usually accompanies rapid enrichment. Soros was the only one who seemed to share my values. He wanted to be taken seriously as a Middle European professor who happened to have gotten rich owing to the validity of his ideas (it was only by failing to gain acceptance by other intellectuals that he would try to gain alpha status through his money, sort of like a seducer who after trying hard, would end up using such an appendage as the red Ferrari to seduce the girl). In addition, although Soros did not come across very clearly in his writings, he knew how to handle randomness, by keeping a critical open mind and changing his opinions with minimal shame (which carries the side effect of making him treat people like napkins). He walked around calling himself fallible, but was so potent because he knew it while others had loftier ideas about themselves. He understood Popper. He lived a Popperian life.

As an aside, Popper was not new to me. I had briefly heard of Karl Popper when I was in my teens and early twenties, as part of a motivated education in Europe and the United States. But I did not understand his ideas as presented then, nor did I think it would be important (like metaphysics) for anything in life. I was at the age when one felt like one needed to read everything, which prevented one from making contemplative stops. Such hurry made it hard to detect that there was something important in Popper. It was either my conditioning by the intellectual-chic culture at the time (too much Plato, too many Marxists, too much Hegel, too many pseudoscientific intellectuals), the educational system (too many conjectures propounded as truth) or the fact that I was too young and was reading too much then to make a bridge to reality.

Popper then slipped out of my mind without hanging on a single brain cell – there was nothing in the baggage of a boy without experience to let it stick. Besides, having started trading, I entered an anti-intellectual phase; I needed to make a non-random buck to secure my newly lost future and

wealth that had just evaporated with the Lebanese war (until then I was living with the desire to become a comfortable man of leisure like almost everyone in my family, over the past two centuries). I suddenly felt financially insecure and feared becoming an employee of some firm that would turn me into a corporate slave with “work ethics” (whenever I hear *work ethics* I interpret *inefficient mediocrity*). I needed the backing of my bank account so I could buy time to think and enjoy life. The last thing I needed was immediate philosophizing and work at the local McDonald’s. Philosophy, to me, became something rhetorical people did when they had plenty of time on their hands; it was an activity reserved to those who are not well versed in quantitative methods and other productive things. It was a pastime that should be limited to late hours, in bars around the campuses, when one had a few drinks and a light schedule – provided one forgot the garrulous episode as early as the next day. Too much of it can get a man in trouble, perhaps turn one into a Marxist ideologue. Popper was not to reemerge until I secured my career as a trader.

LOCATION, LOCATION

It is said that people generally remember the time and geographic condition where they were swept with a governing idea. The religious poet and diplomat Paul Claudel remembers the exact spot of his *conversion* (or re-conversion) to Catholicism in the Cathedral Notre-Dame of Paris, near a precise column. Thus I remember exactly the spot at Barnes and Noble on 21st Street and Fifth Avenue where in 1987, inspired by Soros, I read 50 pages of *The Logic of Scientific Discovery* and feverishly bought all the Popper titles I could get my hands on lest they run out of stock. It was in a sparsely lit side-room that had a distinctive smell of mildew. I remember vividly the thoughts that rushed through my head like a revelation.

Popper turned out to be exactly the opposite of what I initially thought about “philosophers”; he was the epitome of no nonsense. By then I had been an option trader for a couple of years and I felt angry that I was being taken for a total ride by the academic researchers in finance, particularly since I was deriving my income from the failure of their models. I had already started talking to finance academics as part